

Austin Benefits Group

2025 Employee Benefits Renewal Proposal

Prepared for: ABC Manufacturing Company

PLAN OVERVIEW

This renewal proposal covers the employee benefits package for ABC Manufacturing Company for the plan year beginning January 1, 2025. The package includes Medical, Dental, Vision, and Short-Term Disability coverage for all full-time employees and eligible dependents.

MEDICAL PLAN - Blue Cross Blue Shield PPO

Current Monthly Premiums (2024):

Employee Only: \$450.00

Employee + Spouse: \$920.00

Employee + Children: \$880.00

Family: \$1,350.00

Renewal Monthly Premiums (2025):

Employee Only: \$487.00 (+8.2%)

Employee + Spouse: \$995.00 (+8.1%)

Employee + Children: \$952.00 (+8.2%)

Family: \$1,460.00 (+8.1%)

Deductible: \$1,500 Individual / \$3,000 Family

Out-of-Pocket Maximum: \$5,000 Individual / \$10,000 Family

Coinsurance: 80/20 after deductible

Primary Care Visit: \$30 copay

Specialist Visit: \$60 copay

Emergency Room: \$250 copay

DENTAL PLAN - Delta Dental PPO

Current Monthly Premiums (2024):

Employee Only: \$35.00

Employee + Family: \$95.00

Renewal Monthly Premiums (2025):

Employee Only: \$37.00 (+5.7%)

Employee + Family: \$100.00 (+5.3%)

Annual Maximum Benefit: \$2,000 per person

Preventive Care: 100% covered (no deductible)

Basic Services: 80% after \$50 deductible

Major Services: 50% after deductible
Orthodontia: 50% up to \$1,500 lifetime maximum

VISION PLAN - VSP Vision

Current Monthly Premiums (2024):

Employee Only: \$10.00
Employee + Family: \$28.00

Renewal Monthly Premiums (2025):

Employee Only: \$10.50 (+5.0%)
Employee + Family: \$29.50 (+5.4%)

Eye Exam: \$10 copay (once per year)
Frames: \$150 allowance (once every 2 years)
Contact Lenses: \$150 allowance (in lieu of glasses)

SHORT-TERM DISABILITY

Carrier: The Hartford
Benefit: 60% of weekly salary
Maximum Weekly Benefit: \$1,500
Elimination Period: 14 days
Benefit Duration: Up to 12 weeks

Current Monthly Premium: \$18.00 per employee
Renewal Monthly Premium: \$19.50 per employee (+8.3%)

RENEWAL DATE & KEY DATES

Current Plan Year: January 1, 2024 - December 31, 2024
Renewal Effective Date: January 1, 2025
Open Enrollment Period: November 1 - November 22, 2024
Employee Elections Due: November 22, 2024
New ID Cards Mailed: December 15, 2024

EMPLOYER COST SUMMARY

Total Annual Employer Cost (2024): \$284,400
Total Annual Employer Cost (2025): \$307,800
Total Annual Increase: \$23,400 (+8.2%)

Employer contributes 80% of Employee Only premium for Medical.
Employer contributes 50% of all Dental and Vision premiums.
Short-Term Disability is 100% employer paid.

RECOMMENDATIONS

1. Consider adding a High Deductible Health Plan (HDHP) with HSA option to give employees a lower-premium alternative.
2. The 8.2% medical increase is slightly above market average of 7.5% - we recommend requesting a rate review from BCBS.
3. Dental rates are competitive - recommend renewing as-is.
4. Consider moving to a Level Funded medical plan to potentially reduce costs by 10-15%.
5. Begin open enrollment communications by October 15 to allow adequate employee decision time.